

June 4, 2026 04:03 PM GMT

Greater China Technology Hardware | Asia Pacific

Spotlight on Computex 2026 –
Conversations with Chairmen of
Taiwan's Tech Titans

Key Takeaways

- We invited James Wu, the spokesperson for Hon Hai, and Brand Cheng, the chairman of Foxconn Industrial Internet, to attend the session
- We're OW on both Hon Hai (2317.TW) and FII (601138.SS)

Accelerated VR rack shipment deliveries: The implementation of automation equipment and AI algorithms is helping to shorten the cycle time of Vera Rubin server rack system assembly. For referenced, the GTC Taipei keynote address cited that VR computing tray assembly time has been reduced to five minutes from 2 hours for GB computing trays. This is key to enhancing time-to-volume deliveries.

AI server momentum keeps growing: GB300 server rack order visibility at Foxconn is till the end of next year. Foxconn aims to have VR NVL72 server racks in mass production by the end of 3Q26 and expects VR racks to become mainstream in 1Q27. AI ASIC server rack delivery will also increase, with contribution increasing to 30% of AI server revenue in 2H26.

Sovereign AI fuels long-term growth: Foxconn will participate in several sovereign AI projects with more than US\$1trn in AI investment over the next five years, including recently announced deals in France. Foxconn is dominant in the sovereign AI market given its leading position in AI computing system integration. It will likely help build local ecosystems in target markets.

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GREATER CHINA TECHNOLOGY HARDWARE

Asia Pacific

Industry View

In-Line

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Valuation Methodology and Risks

Hon Hai Precision (2317.TW)

Base case scenario value, derived from a residual income valuation model. Our key assumptions include a cost of equity of 8.5%, a medium-term growth rate of 13%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected iPhone sell-through
- Faster progress in AI server business
- Faster EV business development progress
- Any new M&A activity that could improve sentiment

Risks to Downside

- Lower iPhone sell-through
- Smaller profit contribution from AI business
- Slower EV business development progress
- Geopolitical developments that could negatively affect foreign investment

Foxconn Industrial Internet Co. Ltd. (601138.SS)

Base case, derived from a multi-stage residual income (RI) valuation model. Key assumptions:

- A 10% cost of equity, in line with our tech hardware coverage universe.
- A medium-term growth rate of 18%, reflecting the benefits of its ongoing investment, enriched solution offerings and multi-year AI demand opportunity.
- A terminal growth rate of 5%.

Risks to Upside

- Faster project win progress in IIoT solutions
- Lower competition in its manufacturing business
- Faster-than-expected 5G and data center demand
- Stronger macro outlook

Risks to Downside

- Slow project win progress in IIoT solutions
- Increased competition in its manufacturing business
- Lower-than-expected 5G and data center demand
- Weaker macro outlook

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Foxconn Industrial Internet Co. Ltd. (601138.SS) - As of 06/04/26 GMT in CNY
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/21 : 0/I

Price Target History: 5/4/21 : 18.8; 3/30/22 : 12.6; 5/23/22 : 12; 11/10/22 : 11.8; 3/17/23 : 15.5; 5/9/23 : 17.5; 7/12/23 : 28.5; 5/10/24 : 31.1; 7/15/24 : 34.2; 2/5/25 : 29.5; 4/23/25 : 24.2; 5/16/25 : 25.5; 7/21/25 : 33; 8/15/25 : 52.5; 11/14/25 : 82; 4/17/26 : 82.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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Hon Hai Precision (2317.TW) - As of 06/04/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/21 : 0/I; 1/9/23 : E/I; 3/15/24 : 0/I

Price Target History: 3/22/21 : 168; 3/8/22 : 145; 1/9/23 : 116; 5/11/23 : 115; 3/15/24 : 155; 5/10/24 : 210; 6/26/24 : 255; 7/15/24 : 270; 2/5/25 : 232; 4/23/25 : 175; 5/14/25 : 200; 8/6/25 : 220; 8/14/25 : 250; 11/12/25 : 317; 3/17/26 : 290; 5/15/26 : 310

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/04/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$47.58
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb220.56
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$29.64
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.61
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.69
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb775.94
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$659.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.16
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb30.63
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,825.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.85
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb10.05
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$9.38
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb56.27
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$42.02
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb59.72
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$82.20
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb480.45
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb20.57
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb455.89
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$250.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb123.74
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb37.18
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,280.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$28.38
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb37.74
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,510.00
Advantech (2395.TW)	O (01/20/2021)	NT\$522.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.25
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.15
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,420.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,620.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$214.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$68.50
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$358.00
Innolux (3481.TW)	E (04/07/2025)	NT\$55.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$5,350.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb43.64
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$101.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb17.06
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.92
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.24
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb203.80
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$39.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$892.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$42.35
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$9.13

Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$374.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,350.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb63.36
Lenovo (0992.HK)	E (11/16/2025)	HK\$25.00
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,400.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$878.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$97.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$404.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.96
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb393.38
Unimicron (3037.TW)	O (02/23/2026)	NT\$971.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$176.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,570.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$743.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$492.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,710.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,185.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$242.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,425.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,985.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb78.55
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$62.30
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb24.94
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$293.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,580.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.99
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$248.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb74.59
Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$168.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$243.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$402.00

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* Historical prices are not split adjusted.